

In this comparison the Ward Baking issue made a far stronger statistical showing than the Bethlehem Steel bonds. Furthermore, it appeared sufficiently well protected to justify an investment rating, despite the high return. The qualitative factors, although not impressive, did not suggest any danger of collapse of the business. Hence the bonds could be recommended either as an original purchase or as an advantageous substitute for the Bethlehem Steel 5s.

II. Comparison Made in March 1929.

Item	Spear & Co. (Furniture Stores) 7% First Preferred. Price 77, yielding 9.09%	Republic Iron & Steel 7% Preferred. Price 112, yielding 6.25%
(Interest and) preferred dividends earned:		
1928	2.4 times	1.9 times
1927	4.0 times	1.5 times
1926	3.0 times	2.1 times
1925	2.5 times	1.7 times
1924	4.7 times	1.1 times
1923	6.5 times	2.5 times
1922	4.3 times	0.5 times
Seven-year average	3.9 times	1.6 times
Amount of bond issues	None	\$32,700,000
Amount of (1st) preferred issue	\$ 3,900,000	25,000,000
Market value of junior issues	3,200,000*	62,000,000
Net working capital	10,460,000	21,500,000

* Includes Second Preferred estimated at 50.

In this comparison the Spear and Company issue undoubtedly made a better statistical showing than Republic Iron and Steel Preferred. Taken by itself, however, its exhibit was not sufficiently impressive to carry conviction of investment merit, considering the type of business and the fact that we were dealing with a preferred stock. The price of the issue was not low enough to warrant recommendation on a fully speculative basis, *i.e.*, with prime emphasis on the opportunity for enhancement of principal. This meant in turn that it could not consistently be recommended in exchange for another issue, such as Republic Iron and Steel Preferred.